Designing a U.S. Sovereign Wealth Fund

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Diversified Capital Inflows

01

Base Inflows

Federal resource and mineral royalties provide a stable base inflow of $8–15B annually, forming the cornerstone of the U.S. SWF's funding structure. These royalties ensure a steady revenue stream, crucial for long-term financial stability.

02

Windfall Inflows

Windfall inflows from spectrum auctions, such as the $81B C-band and $4.37B offshore wind auctions, offer significant one-time boosts to the fund. These funds can be leveraged to accelerate the SWF's growth.

03

Structural Inflows

Structural inflows from asset recycling and carbon pricing, projected to reach up to $1T over 10 years at $25/ton, provide a sustainable and scalable funding mechanism. This approach aligns with global trends in environmental policy and economic innovation.

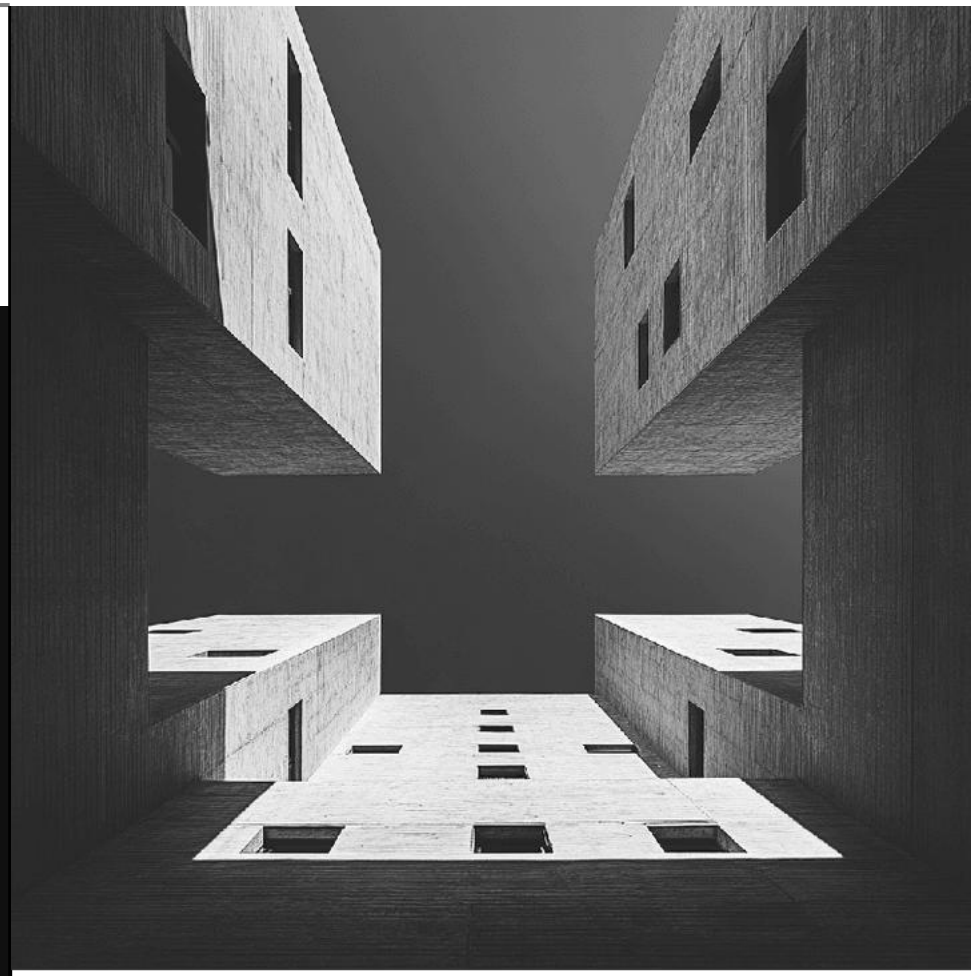
Policy Goals and Oversight

01 Fiscal Stabilization

Transform irregular revenues into long-term capital reserves to stabilize budgets. This approach ensures that volatile income streams are converted into sustainable financial assets, safeguarding against economic fluctuations.

02 Transparency & Accountability

Adopt Norway's GPFG model with quarterly reports, ethical guidelines, and external audits. This ensures transparency, accountability, and ethical investment practices, building public trust and confidence in the fund.



Investment Focus and Scope

Global Core

Allocate 85–90% of the portfolio to global assets, modeled after Norway's GPFG, to ensure neutrality and global exposure. This strategy maximizes returns while minimizing political influence and market distortion.

Domestic Strategic Allocation

Dedicate 10–15% to long-horizon domestic sectors such as climate-resilient infrastructure, semiconductor manufacturing, grid modernization, and critical minerals processing. This supports strategic industries and economic resilience.

Public-Private Co-Financing

Implement public-private co-financing and transparent bidding processes, inspired by Canada's Infrastructure Bank and UAE's Mubadala. This approach ensures efficient use of funds and avoids crowding out private investment.

Catalyst Role

Position the U.S. SWF as a catalyst, not a competitor, to complement private capital. This role ensures that the fund enhances economic activity without disrupting market dynamics.

Top Objections Addressed

Fiscal Constraints : Critics cite high deficits

Concern: the U.S. federal deficit projected to exceed $1.6 trillion in FY2025 and debt-to-GDP approaching 120%. it would be fiscally irresponsible to divert any federal revenue into a new investment vehicle

Response: Use non-tax, non-debt funding and adopt fiscal triggers (pause deposits if deficit >3% GDP). Modeled on Australia's Future Fund.

Political Influence: Fear of favoritism

Concern: government investment fund could be steered toward politically popular projects—such as clean energy firms or defense contractors—rather than objective, return-driven investments

Response: Independent governance, nonpartisan board, and transparent reporting modeled on GPFG and Temasek.

Market Distortion: Crowding out private investment Concern

Concern: federal involvement in large-scale investing could distort private markets or duplicate efforts by state investment funds (e.g., Alaska Permanent Fund, Texas Permanent School Fund) and institutional investors.

Response: Global-first portfolio with limited, co-financed domestic projects.